BERNSTEIN
SOCIETE GENERALE GROUP

29 October 2026

U.S. Semiconductor Capital Equipment

KLA Corporation

Rating

Outperform

Price Target

KLAC **225.00 USD** (250.00 *OLD*)


Stacy A. Rasgon, Ph.D.
+1 213 559 5917
stacy.rasgon@bernsteinsg.com


Arpad von Nemes
+1 917 344 8461
arpad.vonnemes@bernsteinsg.com


Alrick Shaw
+1 917 344 8454
alrick.shaw@bernsteinsg.com


Eva Zhang
+1 212 845 7839
eva.zhang@bernsteinsg.com

KLA Corporation (KLAC): F1Q27 recap - this could be their year...

KLAC F1Q27 results were very good ($4.136B/62.7%/$1.22 vs Street $4.038B/62.5%/$1.19) on continued strong product revenues (+16% QoQ and 33% YoY); services were also strong (+14% YoY and 4% sequentially). Gross margins were 62.7%, 20 bps above guidance. China revenue rose to ~34%, up from ~26% last quarter, but is expected to come down in Dec.

F2Q27 guidance was solidly above ($4.700B/62.5%/$1.44 vs Street $4.518B/62.6%/$1.35). Like its peer last week, KLAC expects CY27 WFE market to exceed $200B, and they expect to outgrow the industry (suggestive of well over 30% process control equipment growth) as their supply issues ease a bit and intensity climbs, with services seen growing above the high end of the target model (i.e. >15%).

The 2H acceleration the company had called for has manifested, and the set-up into CY27 (and beyond) looks really good to us as fab space comes online and spending in the company's key areas (especially leading edge logic, DRAM, and packaging) climbs, and as they now resolve some of the supply chain bottlenecks that impaired them in the first half of 2026. On top of this the WFE market itself is inflecting sharply higher (a trend we see continuing assuming the datacenter buildout pace maintains), and process control intensity is rising (giving management confidence that they can outgrow what is a very strong market trend). And current valuation that has come in sharply over the last several months (with the shares now trading in the mid-20's P/FE).

Given growth acceleration, share/intensity tailwinds, and valuation we see this as a good opportunity after the recent industry flush. Indeed, 2027 may be the company's year…

Increasing estimates and raising estimates, lowering PT to $225 vs $250 prior on lower multiple (30x vs 35x prior due to market compression). We rate KLAC OP.

Investment Implications

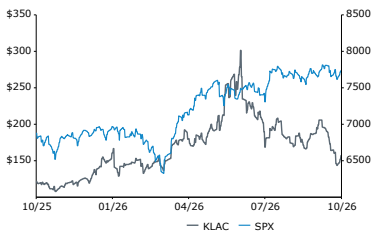
KLAC (Outperform, $225 PT): Amid positive WFE trends KLAC possesses structural growth drivers, a strong and durable competitive position, lower China replacement risk, and disciplined capital allocation, warranting premium valuation.

Close Date	28 Oct 2026
KLAC Close Price (USD)	158.77
Price Target (USD)	225.00
Upside/(Downside)	42%
52-Week Range	307.37/107.20
SPX	7,743.98
FYE	Jun
Div Yield	0.6%
Market Cap (USD) (M)	207,440
EV (USD) (M)	208,690

Performance	YTD	1M	6M	12M
Absolute (%)	30.7	(16.1)	(12.2)	31.6
SPX (%)	13.1	0.8	8.5	12.4
Relative (%)	17.5	(16.9)	(20.7)	19.3

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Adjusted EPS	F26A	F27E	F28E
KLAC (USD)	3.76	**5.74**	**7.34**
OLD	--	5.47	7.05

Financials	F26A	F27E	F28E	CAGR
Revenues (M)	13,579	18,774	22,960	--
FCF (M)	3,767	7,046	8,404	--

Valuation Metrics	F26A	F27E	F28E
Adjusted P/E (x)	42.2	27.7	21.6

Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our Global Research Disclosure Website.

First Published: 29 Oct 2026 02:07 UTC Completion Date: 29 Oct 2026 02:07 UTC

DETAILS

For our KLAC model, please click: here.

KLAC F1Q27 results were very good ($4.136B/62.7%/$1.22 vs Street $4.038B/62.5%/$1.19) on continued investment in foundry/logic and strength in DRAM/HBM. Sequentially, Product revenues grew 16% QoQ and 33% YoY, mainly driven by growth in Wafer Inspection (19%/37% QoQ/YoY) and Patterning (18%/29% QoQ/YoY). Specialty Semis, PCB and Component Inspection and Other tools were down ~5% sequentially and up ~20% YoY driven by a fairly strong PCB business. Services had another good quarter and growing 14% YoY and 4% sequentially. Gross margins at 62.7% were solid, up ~30bps QoQ and ~20bps above guide on favorable services mix and scale even with continued memory headwinds. China revenue rose by ~$455M QoQ with revenue exposure rising to ~34%, up from ~26% last quarter.

- 1Q27 sales of $4.136B were above consensus ($4.038B) and guidance of $4.000B with the beat driven by Products (**Exhibit 1**).
  - Product revenues were $3.285B (+16% QoQ, +33% YoY), above consensus at $3.190B (**Exhibit 2**). Within the segment, growth was driven by Wafer Inspection (+37% YoY/+19% QoQ), Patterning (+29% YoY/+18% QoQ), while PCB and Component Inspection rose +43% YoY and was flat QoQ, and Specialty Semi Process was up +13% YoY and down -17% QoQ. The Other segment declined -28% YoY and was up +28% QoQ.
  - Services revenues were $850M (+4% QoQ, +14% YoY), a bit above consensus at $844M and growing in-line with the target model of 13-15% growth (**Exhibit 2**).
- By end market, Foundry/Logic and memory accounted for 72% and 28% of total Semi PC systems' revenue, respectively (**Exhibit 4**).
- By region, China revenue rose by $455M, +48% QoQ / +11% YoY, and accounted for ~34% of revenues. 25% of revenue from Taiwan, 15% from North America, 12% from Korea, 4% from Japan, 5% from Europe, and 5% from the Rest of Asia (**Exhibit 5**). China concentration ticked up by 8ppts QoQ to 34% vs 26% in Q4, 24% in Q3, 30% in Q2 and 39% in Q1 (**Exhibit 6**). China revenue mix is expected to come down next quarter and in CY27.
- Gross margins were 62.7%, a hair above consensus (62.5%) and guidance (62.5%) and up ~30bps sequentially (**Exhibit 7**).
- Opex came in at $688M a bit below consensus at $699M.
- Operating margins of 46.1% were ~90bps above consensus (45.2%) (**Exhibit 7**) on higher revenue and slightly higher gross margins.
- Tax rate of 14.1% was below expectations of 15.0% and guide (14.5%).
- PF EPS of $1.22 was ahead of consensus at $1.19 (**Exhibit 8**).

F2Q27 guidance was solidly above consensus on revenue and EPS ($4.700B/62.5%/$1.44 vs Street $4.518B/62.6%/$1.35). Gross margins are seen at ~62.5% mostly inline with consensus at 62.6% given mix, continued tariffs and DRAM headwinds. KLA also reiterated their process control-related Advanced Packaging revenue of $1.1B growing >70% YoY vs. $635M in CY25, ~2x the market. Like its peer last week, KLAC expects CY27 WFE market to exceed $200B, and they expect to outgrow the industry as their supply issues ease a bit and process control intensity climbs (suggestive of well over 30% process control equipment growth). Services are expected to grow above the high end of the target model (i.e. >15%) as installed base growth has picked up materially, and operating leverage is expected despite a higher opex run rate as they invest for growth.

- Management guided F2Q27 (CQ4) sales to $4.700B, solidly above consensus at $4.518B. Next year, management expects to outgrow the industry (suggesting well over 30% equipment growth), with the non-Semi PC business growing similarly or even slightly faster particularly as the PCB business is expected to benefit from growth of more complex, multi-layer PCBs. Services are expected to grow above the high-end of the target model at >15% next year, driven by strong installed base growth, and we see further acceleration beyond CY27. Given high revenue visibility, increasing intensity, and easing

supply constraints, management also expects the growth trajectory to be less back-end loaded than in CY26 with sequential revenue growth over the next quarters.

- Gross margins were guided to 62.5%, mostly inline with consensus at 62.6%. Looking to CY27, the company didn't provide a gross margin number, however it sounds like margins should improve a bit into the 2H with a lower China mix, pricing, product mix, and scale, as well as work to improve efficiency of memory usage in their products.

- Opex was guided to $710M, below consensus at $741M. For CY27, the company expects to undertake heavier opex investments, probably running at an incremental ~$40M+/qtr through the year as management is setting up the company for a multi-year growth trajectory and compensation for key talent is becoming more competitive in some regions.

- Operating margins were suggested at 47.4%, again well above consensus at 46.2%. Despite heavier opex investments, operating margins are expected to further expand next year and exit CY27 above 4Q26 due to continued operating leverage (we model a hair higher).

- Tax rate is seen at 14.5%, above consensus at 12.9%.

- Diluted shares for next quarter were guided to 1,306M, below consensus at 1,322M.

- PF EPS was guided to $1.44, above consensus at $1.35 (**Exhibit 9**).

- Capex is seen running ~$600-$800M for the year as they bring supply and facilities online.

- Management also sees continued momentum in Advanced Packaging and reiterated CY2026 Process Control Advanced Packaging revenue target of ~$1.1B, implying >70% growth vs. $635M in revenue in CY25 and outgrowing the industry by ~2x.

- For CY27 WFE, management expects the market to exceed $200B, with fab projects and greenfield facilities scheduled to come online.

The 2H acceleration the company had called for has manifested, and the set-up into CY27 (and beyond) looks really good to us as fab space comes online and spending in the company's key areas (especially leading edge logic, DRAM, and packaging) climbs, and as they now resolve some of the supply chain bottlenecks that impaired them in the first half of 2026. On top of this the WFE market itself is inflecting sharply higher (a trend we see continuing assuming the datacenter buildout pace maintains), and process control intensity is rising (giving management confidence that they can outgrow what is a very strong market trend). And current valuation that has come in sharply over the last several months (with the shares now trading in the mid-20's P/FE).

- The 2H acceleration KLA had called for has manifested, and the set-up into CY27 (and beyond) looks really good to us.

- Fab space is coming online, and spending in the company's key areas (especially leading edge logic, DRAM, and packaging) is now inflecting, which they can now take advantage of as they have resolved some of the supply chain bottlenecks that impairs them in the first half of 2026.

- Additionally, the WFE market is inflecting sharply higher; a $200B+ WFE for 2027 would suggest market growth in the mid 30% range, a trend that we believe can continue assuming datacenter buildouts play out as currently anticipated.

- On top of this process control intensity is climbing as well, giving management confidence in outgrowing this very strong market trend.

- And valuations have come in sharply over the last few months, and are now much easier.

- And valuations have come in sharply over the last few months (**Exhibit 10**), now a significantly easier after the group sell-off (**Exhibit 11**).

Given growth acceleration, share/intensity tailwinds, and valuation we see this as a good opportunity after the recent industry flush. Indeed, 2027 may wind up being the company's year...

Other tidbits:

- Free cash flow in the quarter was $1,336M (32% FCF margin) and $3,709M on a TTM basis (26% FCF margin) (**Exhibit 12**).

  Cash return in the quarter was $1,241M ($305M in dividends, $936M in share buybacks); 93% of FCF in the quarter and 94% of FCF on a TTM basis (**Exhibit 13**).

- Inventory dollars grew by $442M to $4,090M vs $3,649M last quarter, while inventory days rose slightly from to 239 vs 238 last quarter (**Exhibit 14**).

We update our model, raising estimates, though take our price target to $225 from $250 on slightly lower multiple. We maintain our Outperform rating.

- We update our model, raising estimates.
- We raise our FY2027 revenue estimate from $18.0B to $18.8B, FY2028 revenue from $22.2B to $23.0B, and FY2029 from $25.0B to $27.7B.
- We raise our FY2027 PF EPS estimate from $5.47 to $5.74, raise FY2028 from $7.05 to $7.34, and FY2029 from $8.26 to $9.20.
- We reduce our price target from $250 to $225 given slightly lower multiple (~30x vs ~35x previously given market compression, on our FY28 non-GAAP EPS estimate of $7.34).
- We maintain our Outperform rating.

EXHIBIT 1: **KLAC's Sep-Q results were good, above Street and our expectations on revenue, gross margins and EPS**

Q127	Actual	Consensus	Actual vs. Consensus	Bernstein	Actual vs. Bernstein
Revenue ($M)	$4,136	$4,038	$98	$4,000	$136
Products ($M)	$3,285	$3,190	$95	$3,163	$122
Services ($M)	$851	$844	$7	$836	$14
PF Gross Margin (%)	62.7%	62.5%	17 bps	62.5%	20 bps
Operating Margin (%)	46.1%	45.2%	85 bps	45.3%	80 bps
PF Diluted EPS ($)	$1.22	$1.19	$0.03	$1.16	$0.06

Source: Company results, Bloomberg, Bernstein estimates and analysis

EXHIBIT 2: **Total sales in the quarter were up 29% YoY, with Product sales growing 33% YoY driven by healthy growth in both Wafer Inspection and Patterning and very strong growth of the PCB & Component inspection business. Services were up 14%.**

Sales by Product and Service	Q124	Q224	Q324	Q424	Q125	Q225	Q325	Q425	Q126	Q226	Q326	Q426	Q127
Wafer Inspection	$1,010	$1,166	$988	$1,169	$1,369	$1,563	$1,496	$1,772	$1,537	$1,573	$1,740	$1,781	$2,111
Y/Y %	*(8.4%)*	*(7.2%)*	*(3.8%)*	*23.0%*	*35.5%*	*34.0%*	*51.4%*	*51.6%*	*12.3%*	*0.7%*	*16.3%*	*0.5%*	*37.3%*
Q/Q %	*6.3%*	*15.5%*	*(15.3%)*	*18.3%*	*17.1%*	*14.1%*	*(4.3%)*	*18.4%*	*(13.2%)*	*2.3%*	*10.6%*	*2.3%*	*18.6%*
Patterning	$542	$430	$539	$542	$576	$531	$636	$453	$667	$696	$615	$728	$862
Y/Y %	*(26.0%)*	*(50.0%)*	*(11.8%)*	*(7.3%)*	*6.3%*	*23.3%*	*18.0%*	*(16.5%)*	*15.8%*	*31.2%*	*(3.4%)*	*60.7%*	*29.2%*
Q/Q %	*(7.2%)*	*(20.7%)*	*25.3%*	*0.6%*	*6.3%*	*(7.9%)*	*19.9%*	*(28.8%)*	*47.4%*	*4.3%*	*(11.6%)*	*18.3%*	*18.5%*
Specialty Semi Process	$112	$136	$116	$106	$113	$143	$138	$123	$100	$122	$144	$137	$114
Y/Y %	*(2.0%)*	*(6.4%)*	*1.4%*	*(9.8%)*	*0.6%*	*4.9%*	*18.8%*	*16.4%*	*(11.2%)*	*(14.7%)*	*4.1%*	*11.3%*	*13.8%*
Q/Q %	*(4.4%)*	*21.6%*	*(14.6%)*	*(9.2%)*	*6.7%*	*26.8%*	*(3.2%)*	*(11.1%)*	*(18.5%)*	*21.7%*	*18.0%*	*(4.9%)*	*(16.8%)*
PCB and Component Inspection	$71	$77	$68	$74	$73	$93	$104	$85	$117	$80	$95	$168	$168
Y/Y %	*(47.1%)*	*(28.9%)*	*(1.7%)*	*13.6%*	*2.5%*	*20.7%*	*52.6%*	*14.8%*	*60.9%*	*(14.3%)*	*(8.9%)*	*96.7%*	*43.2%*
Q/Q %	*8.7%*	*8.6%*	*(11.6%)*	*8.8%*	*(2.0%)*	*28.0%*	*11.7%*	*(18.1%)*	*37.3%*	*(31.8%)*	*18.8%*	*76.8%*	-
Other	$101	$111	$58	$64	$66	$80	$19	$39	$43	$40	$46	$24	$31
Y/Y %	*(9.1%)*	*21.8%*	*(28.3%)*	*(35.5%)*	*(34.1%)*	*(28.3%)*	*(66.8%)*	*(38.1%)*	*(35.4%)*	*(49.9%)*	*141.0%*	*(39.0%)*	*(27.6%)*
Q/Q %	*2.1%*	*10.6%*	*(48.3%)*	*10.4%*	*4.4%*	*20.4%*	*(76.1%)*	*106.0%*	*8.9%*	*(6.6%)*	*15.0%*	*(47.8%)*	*29.2%*
Total Products	**$1,837**	**$1,922**	**$1,769**	**$1,955**	**$2,197**	**$2,409**	**$2,394**	**$2,472**	**$2,465**	**$2,511**	**$2,640**	**$2,837**	**$3,286**
Y/Y %	*(16.3%)*	*(22.0%)*	*(7.0%)*	*7.6%*	*19.6%*	*25.4%*	*35.3%*	*26.5%*	*12.2%*	*4.2%*	*10.3%*	*14.8%*	*33.3%*
Q/Q %	*1.1%*	*4.6%*	*(7.9%)*	*10.5%*	*12.4%*	*9.7%*	*(0.6%)*	*3.3%*	*(0.3%)*	*1.9%*	*5.1%*	*7.5%*	*15.8%*
Services	**$560**	**$565**	**$590**	**$614**	**$644**	**$667**	**$669**	**$703**	**$745**	**$786**	**$775**	**$820**	**$851**
Y/Y %	*6.0%*	*8.5%*	*11.6%*	*14.0%*	*15.0%*	*18.1%*	*13.3%*	*14.4%*	*15.6%*	*17.8%*	*15.8%*	*16.8%*	*14.2%*
Q/Q %	*4.0%*	*0.8%*	*4.5%*	*4.0%*	*4.9%*	*3.6%*	*0.3%*	*5.0%*	*6.0%*	*5.6%*	*(1.4%)*	*5.9%*	*3.7%*
Total Sales	**$2,397**	**$2,487**	**$2,360**	**$2,569**	**$2,842**	**$3,077**	**$3,063**	**$3,175**	**$3,210**	**$3,297**	**$3,415**	**$3,658**	**$4,137**
Y/Y %	*(12.0%)*	*(16.7%)*	*(3.0%)*	*9.1%*	*18.5%*	*23.7%*	*29.8%*	*23.6%*	*13.0%*	*7.2%*	*11.5%*	*15.2%*	*28.9%*
Q/Q %	*1.8%*	*3.7%*	*(5.1%)*	*8.9%*	*10.6%*	*8.3%*	*(0.4%)*	*3.6%*	*1.1%*	*2.7%*	*3.6%*	*7.1%*	*13.1%*

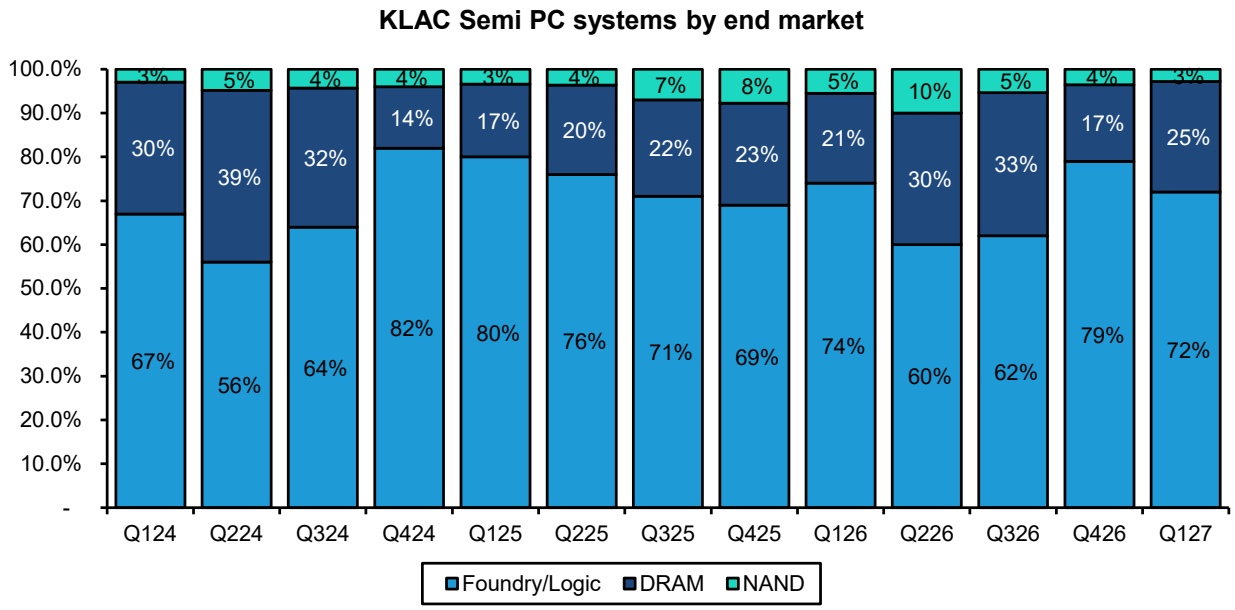
Source: Company reports, Bernstein analysis

EXHIBIT 3: **On a YoY basis, Semi PC grew 29%, while Specialty Semi Process grew 16% and PCB, Display and Component Inspection was up ~28%**

Sales by Reportable Segment	Q124	Q224	Q324	Q424	Q125	Q225	Q325	Q425	Q126	Q226	Q326	Q426	Q127
Semiconductor Process Control	$2,135	$2,194	$2,096	$2,308	$2,575	$2,756	$2,739	$2,878	$2,899	$3,005	$3,084	$3,257	$3,754
Y/Y %	*(10.9%)*	*(17.4%)*	*(3.5%)*	*10.0%*	*20.6%*	*25.6%*	*30.7%*	*24.7%*	*12.6%*	*9.0%*	*12.6%*	*13.2%*	*29.5%*
Q/Q %	*1.8%*	*2.7%*	*(4.5%)*	*10.1%*	*11.6%*	*7.0%*	*(0.6%)*	*5.1%*	*0.8%*	*3.6%*	*2.6%*	*5.6%*	*15.3%*
Specialty Semiconductor Process	$127	$150	$131	$121	$128	$160	$157	$142	$120	$141	$164	$160	$139
Y/Y %	*(0.9%)*	*(5.1%)*	*1.7%*	*(6.0%)*	*1.3%*	*6.9%*	*19.8%*	*17.0%*	*(6.7%)*	*(12.4%)*	*4.8%*	*12.6%*	*16.5%*
Q/Q %	*(1.8%)*	*18.4%*	*(12.9%)*	*(7.2%)*	*5.8%*	*25.0%*	*(2.4%)*	*(9.4%)*	*(15.6%)*	*17.4%*	*16.7%*	*(2.6%)*	*(12.7%)*
PCB, Display and Component Inspection	$136	$143	$133	$140	$138	$161	$169	$154	$189	$152	$167	$241	$242
Y/Y %	*(32.2%)*	*(15.8%)*	*1.1%*	*8.6%*	*1.4%*	*12.6%*	*26.4%*	*10.1%*	*37.3%*	*(5.5%)*	*(0.9%)*	*56.5%*	*27.8%*
Q/Q %	*5.5%*	*5.1%*	*(6.7%)*	*5.0%*	*(1.5%)*	*16.7%*	*4.6%*	*(8.6%)*	*23.0%*	*(19.7%)*	*9.7%*	*44.4%*	*0.4%*

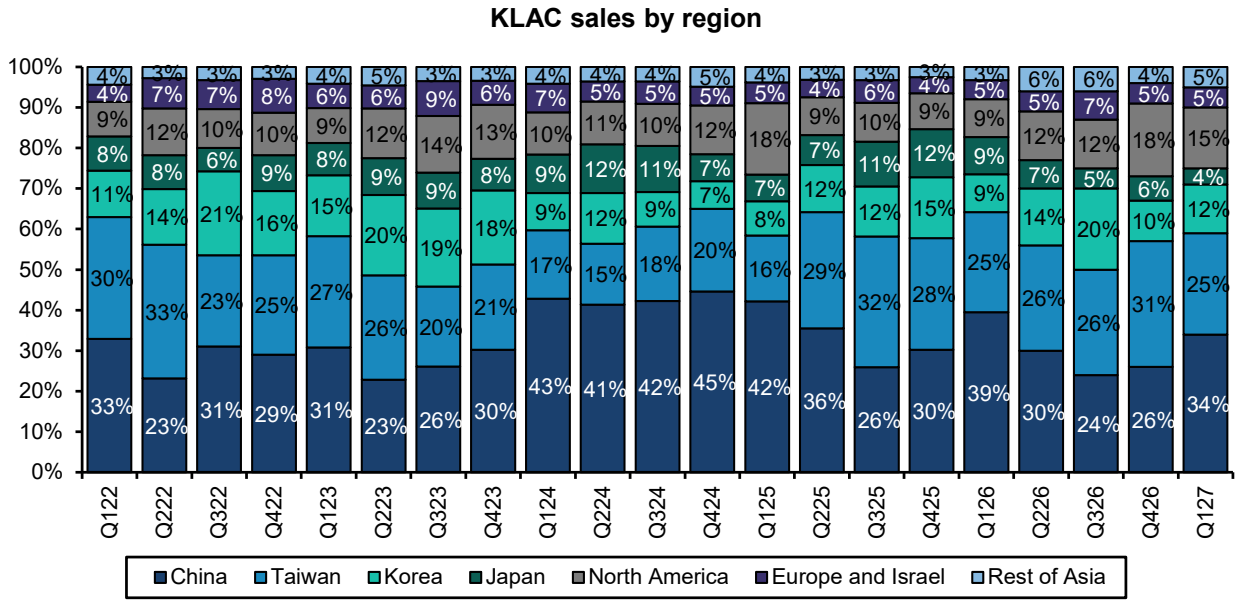
Source: Company reports, Bernstein analysis

EXHIBIT 4: **Foundry/Logic, DRAM and NAND came in as a 72%, 25% and 3% of Semi PC system sales in the quarter, respectively**



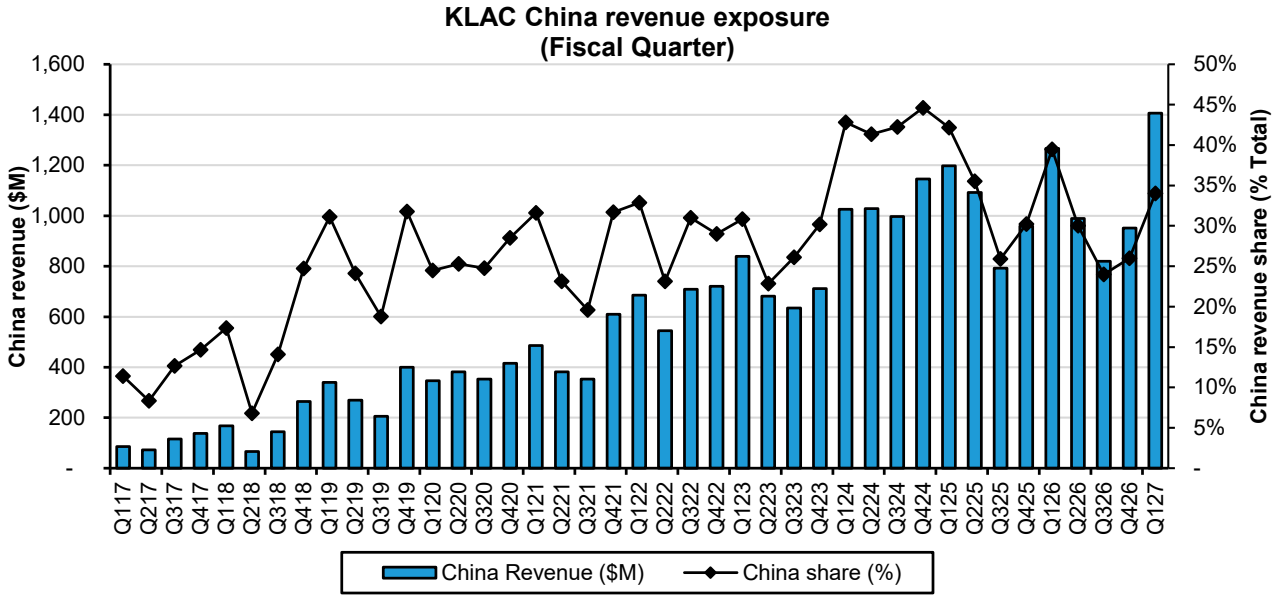
Source: Company reports, Bernstein analysis

EXHIBIT 5: **China grew strongly and made up 34% of sales while Taiwan was down to 25% of revenue and Korea gained 2ppt of share**



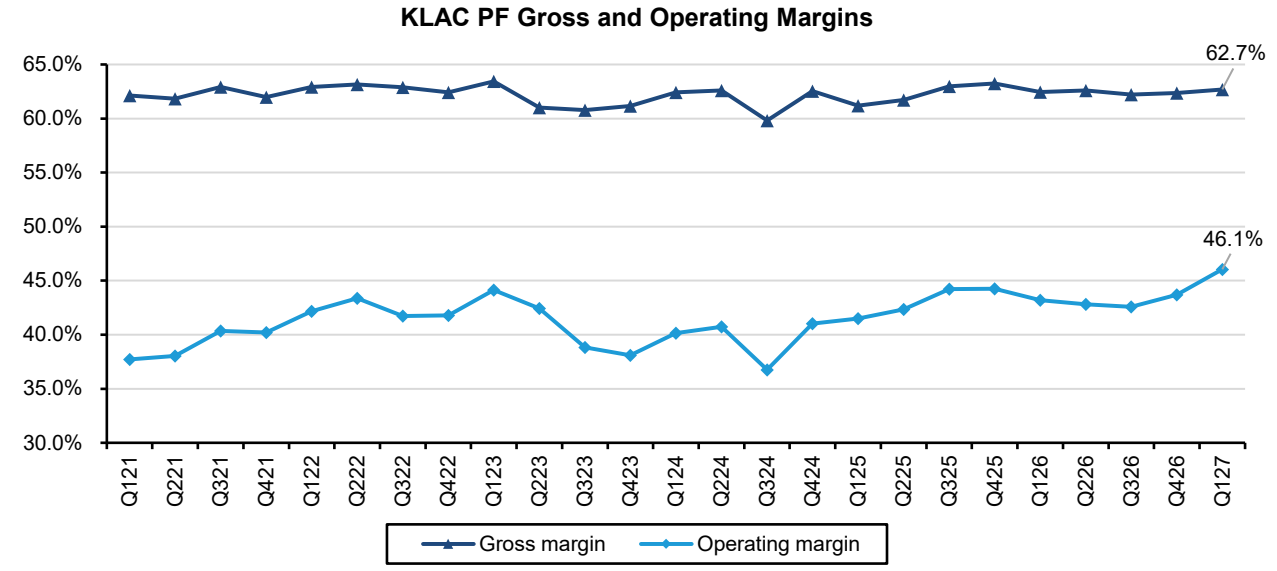
Source: Company reports, Bernstein analysis

EXHIBIT 6: **China revenues were up ~$455M sequentially, and revenue exposure was up ~8pts sequentially to 34% in the quarter. Exposure should come down next quarter and into CY27**



Source: Company reports, Bernstein analysis

EXHIBIT 7: **Gross margins strengthened slightly, up 34bps QoQ, while operating margins were up ~230bps sequentially as a result of strong operating leverage**



Source: Company reports, Bernstein analysis

EXHIBIT 8: **KLAC's results beat consensus estimates across the board**

Q127	Consensus	Actual	Δ	Bernstein	Actual	Δ
Revenue ($M)	$4,038	$4,136	$98	$4,000	$4,136	$136
COGS ($M)	$1,513	$1,543	$29	$1,500	$1,543	$43
Gross Profit ($M)	$2,525	$2,593	$68	$2,500	$2,593	$93
Gross margin %	62.5%	62.7%	17 bps	62.5%	62.7%	20 bps
Opex ($M)	$699	$688	-$11	$690	$688	-$2
Operating income ($M)	$1,826	$1,905	$79	$1,810	$1,905	$95
Operating margin %	45.2%	46.1%	85 bps	45.3%	46.1%	80 bps
Other expense, net ($M)	$24	$39	$15	$24	$39	$15
EBT ($M)	$1,801	$1,866	$65	$1,786	$1,866	$80
Tax ($M)	$270	$263	-$7	$259	$263	$4
Tax rate %	15.0%	14.1%	-90 bps	14.5%	14.1%	-40 bps
Net Income ($M)	$1,531	$1,603	$72	$1,527	$1,603	$76
DSO (M)	1289	1314	25	1312	1314	2
EPS ($)	$1.19	$1.22	$0.03	$1.16	$1.22	$0.06

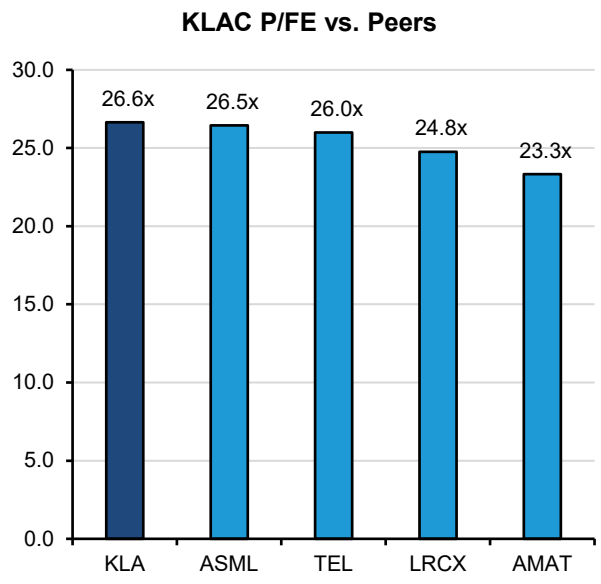
Source: Company reports, Bloomberg, Bernstein estimates and analysis

EXHIBIT 9: **KLAC guided the Sep-Q above consensus estimates**

		Q227 Guidance		Prior Consensus	
	Q127 Results	Range	Midpoint	Q227 Expectations	Delta
Revenue	$4,136	$4,500 - $4,900	$4,700	$4,518	$182
Gross Margin	62.7%	61.5% - 63.5%	62.5%	62.6%	-6 bps
Opex	$688	$704 - $716	$710	$741	-$31
EPS	$1.22	$1.33 - $1.55	$1.44	$1.35	$0.09
DSO	1,311		1,306	1,322	-16

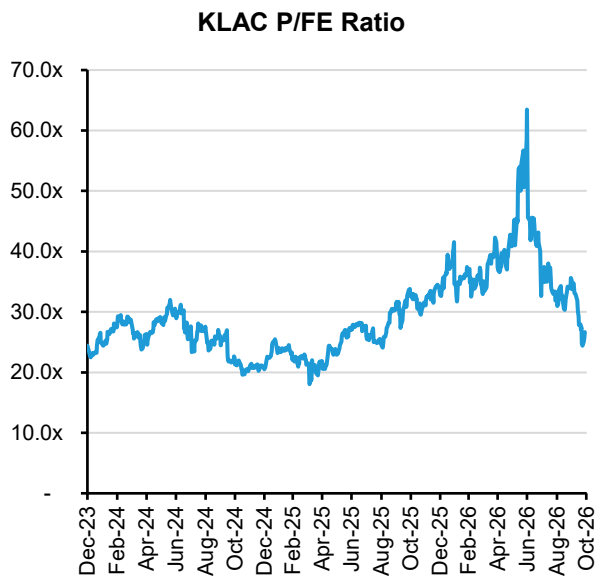
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 10: **Shares are still a bit more expensive than peers…**



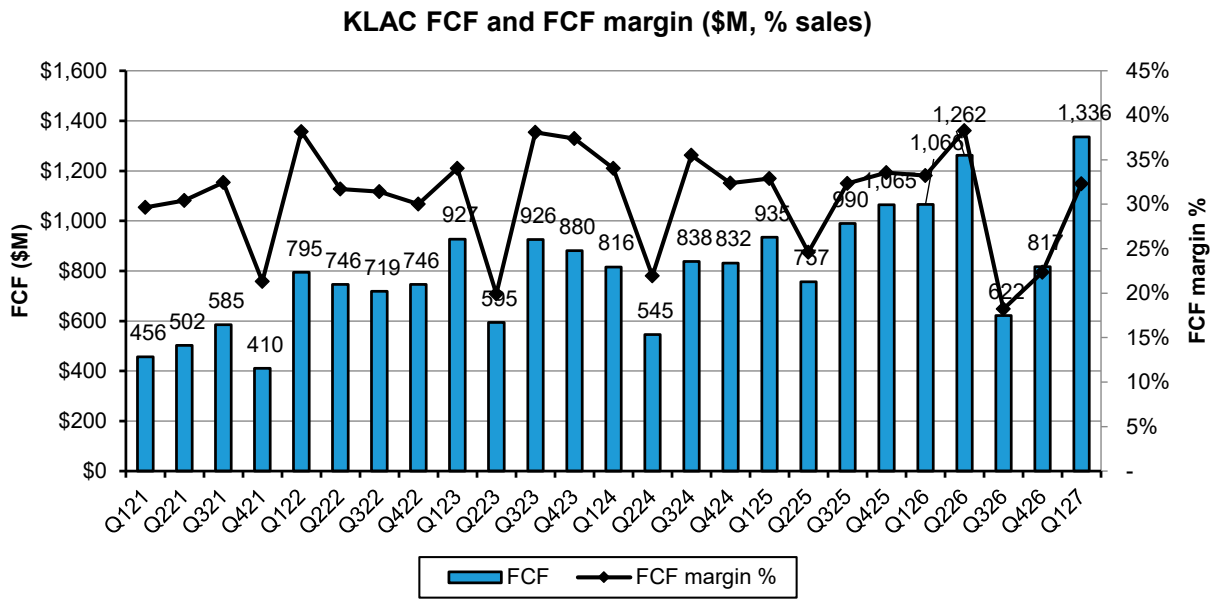
As of 10/28/2026.
Source: Bloomberg, Bernstein analysis

EXHIBIT 11: **… but have come down substantially vs. their peak about 4 months ago**



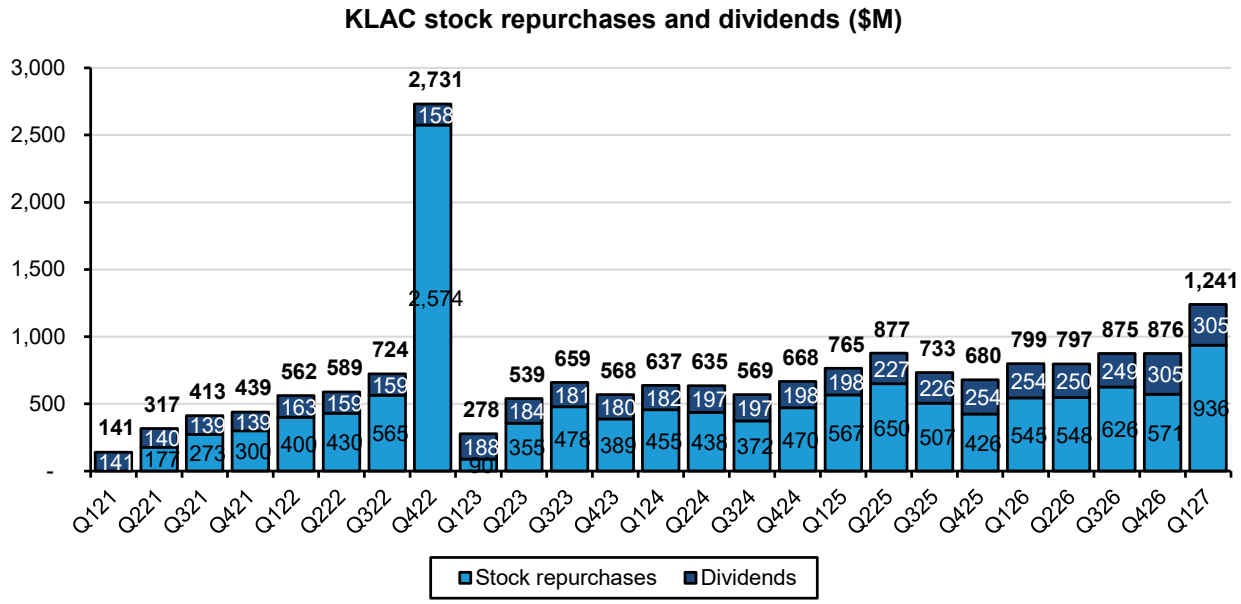
As of 10/28/2026.
Source: Bloomberg, Bernstein analysis

EXHIBIT 12: **KLAC's FCF was up QoQ at $1,336M in the quarter with FCF margins coming in at 32%**



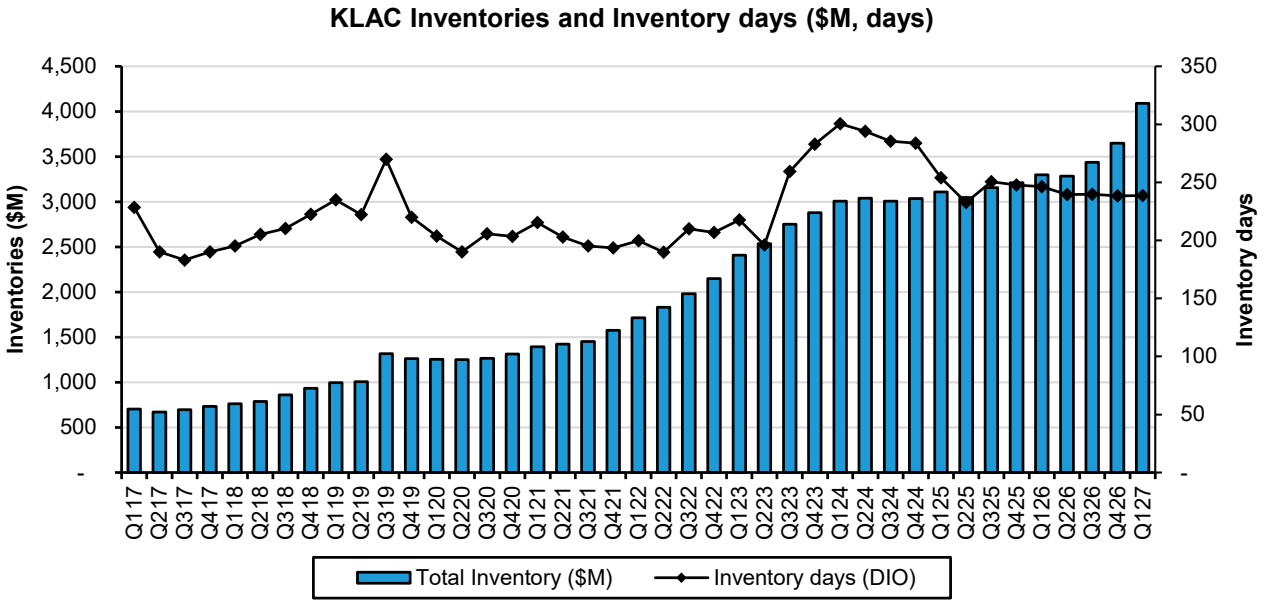
Source: Company reports, Bernstein analysis

EXHIBIT 13: **KLAC returned $1,241M or ~93% of FCF in the quarter by repurching $936M worth of stock and paying $305M in dividends**



Source: Company reports, Bernstein analysis

EXHIBIT 14: **Inventory dollars were up $442M sequentially to ~$4.1B while inventory days were up 1 day to 239**



Source: Company reports, Bernstein analysis

Stacy A. Rasgon, Ph.D. +1 213 559 5917 stacy.rasgon@bernsteinsg.com

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 15: **KLAC - Income Statement**

Income Statement (Non-GAAP), USD in millions except per share Fiscal Period (Fiscal Year ending June 30)	2026	2027E	2028E	2029E	Q126	Q226	Q326	Q426	Q127	Q227E	Q327E	Q427E	Q128E	Q228E	Q328E	Q428E
Revenue	**13,579**	**18,774**	**22,960**	**27,682**	**3,210**	**3,297**	**3,415**	**3,658**	**4,136**	**4,701**	**4,876**	**5,061**	**5,260**	**5,470**	**5,888**	**6,342**
COGS	5,106	7,032	8,464	10,104	1,205	1,233	1,291	1,377	1,543	1,763	1,828	1,898	1,946	2,024	2,179	2,315
Gross Profit	**8,474**	**11,742**	**14,497**	**17,578**	**2,005**	**2,064**	**2,125**	**2,281**	**2,593**	**2,938**	**3,047**	**3,163**	**3,314**	**3,446**	**3,710**	**4,027**
R&D	1,532	1,733	2,110	2,485	360	384	389	399	395	414	449	476	494	503	542	571
SG&A	1,091	1,196	1,405	1,661	258	269	281	283	293	296	297	309	326	334	365	381
Operating Expenses	**2,623**	**2,929**	**3,516**	**4,146**	**618**	**653**	**670**	**682**	**688**	**710**	**746**	**784**	**821**	**837**	**907**	**951**
Operating Income	**5,850**	**8,813**	**10,981**	**13,432**	**1,386**	**1,411**	**1,454**	**1,599**	**1,905**	**2,228**	**2,301**	**2,379**	**2,493**	**2,609**	**2,803**	**3,076**
Non-operating Expense / (Income)	(218)	(188)	(238)	(264)	(43)	(38)	(80)	(57)	(30)	(44)	(56)	(57)	(62)	(62)	(57)	(56)
Interest Expense	284	276	278	265	71	70	70	73	68	69	69	69	69	69	69	69
Earnings Before Taxes	**5,784**	**8,725**	**10,941**	**13,431**	**1,359**	**1,379**	**1,464**	**1,582**	**1,867**	**2,203**	**2,288**	**2,366**	**2,485**	**2,602**	**2,791**	**3,063**
Income Tax Expense / (Benefit)	825	1,258	1,586	1,947	192	211	225	197	264	319	332	343	360	377	405	444
Minority/Non Controlling Interest	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net Income	**4,959**	**7,466**	**9,355**	**11,483**	**1,167**	**1,168**	**1,239**	**1,386**	**1,603**	**1,884**	**1,956**	**2,023**	**2,125**	**2,225**	**2,386**	**2,619**
Basic EPS	$3.78	$5.76	$7.38	$9.24	$0.89	$0.89	$0.95	$1.06	$1.23	$1.45	$1.51	$1.57	$1.66	$1.75	$1.89	$2.08
Weighted Avg. Shares - Basic (M)	1,311	1,296	1,268	1,243	1,318	1,313	1,309	1,307	1,305	1,300	1,292	1,286	1,278	1,271	1,265	1,259
Diluted EPS	**$3.76**	**$5.74**	**$7.34**	**$9.20**	**$0.88**	**$0.88**	**$0.94**	**$1.05**	**$1.22**	**$1.44**	**$1.51**	**$1.57**	**$1.66**	**$1.74**	**$1.88**	**$2.07**
Weighted Avg. Shares - Diluted (M)	1,319	1,302	1,274	1,249	1,324	1,320	1,318	1,315	1,311	1,306	1,298	1,291	1,284	1,277	1,270	1,264
Growth and Margins																
Revenue QoQ/YoY %	*11.7%*	*38.3%*	*22.3%*	*20.6%*	*1.1%*	*2.7%*	*3.6%*	*7.1%*	*13.1%*	*13.7%*	*3.7%*	*3.8%*	*3.9%*	*4.0%*	*7.6%*	*7.7%*
Revenue YoY %	*11.7%*	*38.3%*	*22.3%*	*20.6%*	*13.0%*	*7.2%*	*11.5%*	*15.2%*	*28.9%*	*42.6%*	*42.8%*	*38.4%*	*27.2%*	*16.4%*	*20.8%*	*25.3%*
Gross Margin %	*62.4%*	*62.5%*	*63.1%*	*63.5%*	*62.5%*	*62.6%*	*62.2%*	*62.4%*	*62.7%*	*62.5%*	*62.5%*	*62.5%*	*63.0%*	*63.0%*	*63.0%*	*63.5%*
Incremental Gross Margin %	*63.1%*	*62.9%*	*65.8%*	*65.3%*	*(8.7%)*	*67.8%*	*51.3%*	*64.4%*	*65.3%*	*61.1%*	*62.5%*	*62.5%*	*75.7%*	*63.0%*	*63.0%*	*70.0%*
R&D / Sales %	*11.3%*	*9.2%*	*9.2%*	*9.0%*	*11.2%*	*11.6%*	*11.4%*	*10.9%*	*9.6%*	*8.8%*	*9.2%*	*9.4%*	*9.4%*	*9.2%*	*9.2%*	*9.0%*
SG&A / Sales %	*8.0%*	*6.4%*	*6.1%*	*6.0%*	*8.0%*	*8.2%*	*8.2%*	*7.7%*	*7.1%*	*6.3%*	*6.1%*	*6.1%*	*6.2%*	*6.1%*	*6.2%*	*6.0%*
Opex/Sales %	*19.3%*	*15.6%*	*15.3%*	*15.0%*	*19.3%*	*19.8%*	*19.6%*	*18.6%*	*16.6%*	*15.1%*	*15.3%*	*15.5%*	*15.6%*	*15.3%*	*15.4%*	*15.0%*
Operating Margin %	*43.1%*	*46.9%*	*47.8%*	*48.5%*	*43.2%*	*42.8%*	*42.6%*	*43.7%*	*46.1%*	*47.4%*	*47.2%*	*47.0%*	*47.4%*	*47.7%*	*47.6%*	*48.5%*
Incremental Operating Margin %	*42.8%*	*57.0%*	*51.8%*	*51.9%*	*(52.5%)*	*28.5%*	*36.7%*	*59.4%*	*64.0%*	*57.3%*	*41.8%*	*41.7%*	*57.6%*	*55.2%*	*46.3%*	*60.2%*
Tax Rate %	*14.3%*	*14.4%*	*14.5%*	*14.5%*	*14.1%*	*15.3%*	*15.4%*	*12.4%*	*14.1%*	*14.5%*	*14.5%*	*14.5%*	*14.5%*	*14.5%*	*14.5%*	*14.5%*
Net Margin %	*36.5%*	*39.8%*	*40.7%*	*41.5%*	*36.4%*	*35.4%*	*36.3%*	*37.9%*	*38.8%*	*40.1%*	*40.1%*	*40.0%*	*40.4%*	*40.7%*	*40.5%*	*41.3%*
Diluted EPS QoQ/YoY %	*13.0%*	*52.6%*	*28.0%*	*25.2%*	*(6.0%)*	*0.4%*	*6.2%*	*12.1%*	*16.0%*	*18.0%*	*4.5%*	*4.0%*	*5.6%*	*5.2%*	*7.8%*	*10.3%*
Diluted EPS YoY %	*13.0%*	*52.6%*	*28.0%*	*25.2%*	*20.3%*	*7.9%*	*11.8%*	*12.4%*	*38.7%*	*63.0%*	*60.3%*	*48.7%*	*35.4%*	*20.8%*	*24.6%*	*32.2%*

Source: Company reports, Bernstein estimates and analysis

Stacy A. Rasgon, Ph.D. +1 213 559 5917 stacy.rasgon@bernsteinsg.com

EXHIBIT 16: **KLAC - Balance Sheet**

Balance Sheet, USD in millions Fiscal Period (Fiscal Year ending June 30)	2026E	2027E	2028E	2029E	Q126	Q226	Q326	Q426	Q127	Q227E	Q327E	Q427E	Q128E	Q228E	Q328E	Q428E
Cash and Equivalents & Marketable Securities	4,902	5,811	6,819	9,420	4,684	5,207	4,958	4,902	4,741	5,281	5,369	5,811	5,859	5,740	6,024	6,819
Accounts Receivable	2,889	3,374	4,228	4,709	2,278	2,074	2,304	2,889	3,072	3,134	3,251	3,374	3,507	3,647	3,926	4,228
Inventories	3,649	4,639	5,658	6,302	3,297	3,283	3,437	3,649	4,090	4,505	4,571	4,639	4,757	4,947	5,326	5,658
Other Current Assets	942	1,005	1,259	1,402	642	700	652	942	670	933	968	1,005	1,044	1,086	1,169	1,259
Total Current Assets	**12,382**	**14,830**	**17,965**	**21,834**	**10,901**	**11,264**	**11,351**	**12,382**	**12,573**	**13,853**	**14,159**	**14,830**	**15,167**	**15,420**	**16,445**	**17,965**
Property Plant & Equipment, Net	1,381	1,788	2,205	2,627	1,302	1,345	1,364	1,381	1,541	1,605	1,696	1,788	1,883	1,980	2,087	2,205
Deferred Tax Assets	1,037	1,435	1,798	2,003	1,131	1,144	1,123	1,037	1,055	1,631	1,604	1,435	1,341	1,898	1,937	1,798
Purchased Intangible Assets, net	256	107	58	22	397	348	301	256	213	172	139	107	95	83	70	58
Goodwill	1,789	1,790	1,790	1,790	1,791	1,791	1,788	1,789	1,790	1,790	1,790	1,790	1,790	1,790	1,790	1,790
Other Noncurrent Assets	1,107	1,183	1,482	1,651	795	829	946	1,107	1,233	1,099	1,139	1,183	1,229	1,278	1,376	1,482
Total Assets	**17,952**	**21,133**	**25,298**	**29,927**	**16,318**	**16,720**	**16,874**	**17,952**	**18,405**	**20,149**	**20,527**	**21,133**	**21,505**	**22,449**	**23,705**	**25,298**
Accounts Payable	624	738	900	1,003	430	425	515	624	741	783	711	738	757	787	847	900
Current Portion of Long-Term Debt	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Deferred Revenue (systems+services)	1,537	1,822	2,283	2,543	1,424	1,457	1,197	1,537	1,477	1,692	1,755	1,822	1,894	1,969	2,120	2,283
Other Current Liabilities	2,144	2,834	3,551	3,956	2,197	2,100	2,039	2,144	2,337	2,632	2,730	2,834	2,945	3,063	3,297	3,551
Total Current Liabilities	**4,305**	**5,394**	**6,735**	**7,501**	**4,050**	**3,982**	**3,752**	**4,305**	**4,555**	**5,108**	**5,197**	**5,394**	**5,596**	**5,819**	**6,265**	**6,735**
Long Term Debt	5,887	5,887	5,887	5,087	5,885	5,886	5,887	5,887	5,723	5,887	5,887	5,887	5,887	5,887	5,887	5,887
Deferred Income Taxes (Liabilities)	474	554	568	491	465	453	444	474	453	551	537	554	470	532	530	568
Deferred Revenue (Long-Term, Service)	238	405	507	565	287	271	252	238	231	376	390	405	421	438	471	507
Other Noncurrent Liabilities	698	1,051	1,317	1,467	646	663	709	698	920	976	1,013	1,051	1,093	1,136	1,223	1,317
Total Liabilities	**11,602**	**13,292**	**15,015**	**15,112**	**11,333**	**11,254**	**11,043**	**11,602**	**11,881**	**12,899**	**13,024**	**13,292**	**13,467**	**13,813**	**14,376**	**15,015**
Non Controlling Interest	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Common Stock and capital in excess of par value	2,700	2,585	2,585	2,585	2,489	2,604	2,675	2,700	2,585	2,585	2,585	2,585	2,585	2,585	2,585	2,585
Accumulated Other Comprehensive Income	(34)	(59)	(59)	(59)	1	1	(32)	(34)	(59)	(59)	(59)	(59)	(59)	(59)	(59)	(59)
Retained Earnings	3,684	5,314	7,757	12,289	2,495	2,861	3,187	3,684	3,997	4,724	4,977	5,314	5,512	6,110	6,802	7,757
Total Equity	**6,350**	**7,840**	**10,283**	**14,815**	**4,985**	**5,466**	**5,830**	**6,350**	**6,523**	**7,250**	**7,503**	**7,840**	**8,038**	**8,636**	**9,328**	**10,283**
Total Liabilities and Shareholders Equity	**17,952**	**21,133**	**25,298**	**29,927**	**16,318**	**16,720**	**16,874**	**17,952**	**18,405**	**20,149**	**20,527**	**21,133**	**21,505**	**22,449**	**23,705**	**25,298**
Summary metrics																
EBITDA	6,244	9,258	11,417	13,944	1,483	1,510	1,554	1,697	2,002	2,346	2,414	2,496	2,595	2,716	2,914	3,192
LTM EBITDA	6,244	9,258	11,417	13,944	5,843	5,947	6,048	6,244	6,763	7,599	8,459	9,258	9,851	10,220	10,720	11,417
Net Debt	985	76	(932)	(4,333)	1,202	679	929	985	982	607	518	76	28	147	(137)	(932)
Leverage (Net Debt/EBITDA)	0.2x	0.0x	(0.1x)	(0.3x)	0.2x	0.1x	0.2x	0.2x	0.1x	0.1x	0.1x	0.0x	0.0x	0.0x	(0.0x)	(0.1x)
Invested Capital / Net Operating Assets	6,606	7,825	8,848	10,362	6,187	6,144	6,760	7,335	7,506	7,856	8,022	7,917	8,066	8,783	9,192	9,352
NOPAT	5,059	7,749	9,389	11,485	1,265	1,121	1,276	1,398	1,842	1,905	1,968	2,034	2,132	2,231	2,396	2,630
ROIC (annualized)	*77%*	*99%*	*106%*	*111%*	*82%*	*73%*	*76%*	*76%*	*98%*	*97%*	*98%*	*103%*	*106%*	*102%*	*104%*	*112%*

Source: Company reports, Bernstein estimates and analysis

Stacy A. Rasgon, Ph.D. +1 213 559 5917 stacy.rasgon@bernsteinsg.com

EXHIBIT 17: **KLAC - Cash Flow Statement**

Cash Flow Statement, USD in millions Fiscal Period (Fiscal Year ending June 30)	2026E	2027E	2028E	2029E	Q126	Q226	Q326	Q426	Q127	Q227E	Q327E	Q427E	Q128E	Q228E	Q328E	Q428E
Net income (GAAP)	4,831	7,331	9,322	11,460	1,121	1,146	1,201	1,363	1,549	1,846	1,935	2,002	2,117	2,217	2,378	2,611
Depreciation and Amortization	394	445	436	512	97	99	99	99	97	118	113	117	102	106	111	117
Unrealized foreign exchange loss and other	7	(7)	-	-	12	2	(14)	6	(7)	-	-	-	-	-	-	-
Stock-based compensation	310	423	517	622	70	74	84	82	84	105	120	114	107	123	145	142
Deferred income taxes	78	(306)	(350)	(281)	(11)	(32)	15	105	(27)	(478)	13	186	10	(495)	(41)	176
Goodwill and other impairment charges	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other operating cash flow	(1)	-	-	-	-	-	(1)	-	-	-	-	-	-	-	-	-
Accounts receivable	(642)	(481)	(854)	(481)	(13)	191	(234)	(586)	(179)	(62)	(117)	(124)	(132)	(140)	(279)	(302)
Inventories	(466)	(983)	(1,019)	(644)	(96)	1	(159)	(212)	(434)	(414)	(66)	(68)	(118)	(190)	(378)	(333)
Other assets	(501)	(108)	(554)	(312)	51	(65)	(64)	(423)	177	(129)	(76)	(80)	(86)	(91)	(181)	(196)
Accounts payable	172	114	162	102	(24)	(5)	93	108	117	43	(72)	27	19	30	60	53
Deferred system revenue	116	199	314	177	2	39	(237)	312	(90)	201	43	45	49	51	102	111
Deferred service revenue	(55)	253	250	141	(5)	(22)	(42)	14	23	160	34	36	39	41	82	89
Other liabilities	(100)	850	983	554	(44)	(61)	(34)	39	222	352	134	142	152	161	321	348
Cash Flow from operating activities	**4,143**	**7,730**	**9,208**	**11,850**	**1,162**	**1,368**	**707**	**906**	**1,531**	**1,741**	**2,060**	**2,398**	**2,258**	**1,814**	**2,321**	**2,815**
Capital expenditures	(376)	(684)	(804)	(898)	(96)	(106)	(85)	(89)	(195)	(141)	(171)	(177)	(184)	(191)	(206)	(222)
Net Proceeds from sale of assets / businesses	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Business acquisitions, net of cash acquired	17	-	-	-	2	15	-	-	-	-	-	-	-	-	-	-
Net purchases of securities	(833)	16	-	-	(316)	(22)	(412)	(84)	16	-	-	-	-	-	-	-
Net proceeds from other investments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other investing cash flow	2	0	-	-	-	-	2	-	0	-	-	-	-	-	-	-
Cash Flow from investing activities	**(1,190)**	**(667)**	**(804)**	**(898)**	**(410)**	**(113)**	**(494)**	**(173)**	**(178)**	**(141)**	**(171)**	**(177)**	**(184)**	**(191)**	**(206)**	**(222)**
Common stock repurchases	(2,290)	(4,936)	(6,000)	(6,000)	(545)	(548)	(626)	(571)	(936)	(1,000)	(1,500)	(1,500)	(1,500)	(1,500)	(1,500)	(1,500)
Issuance of common stock	169	236	288	336	-	56	0	113	-	79	0	156	-	92	0	196
Tax withholding payments related to vested and released RSUs	(205)	(346)	(327)	(396)	(81)	(6)	(4)	(114)	(239)	(5)	(4)	(98)	(191)	(6)	(5)	(125)
Dividend to stockholders	(1,058)	(1,238)	(1,357)	(1,489)	(254)	(250)	(249)	(305)	(305)	(299)	(297)	(336)	(335)	(328)	(326)	(369)
Proceeds from debt issuance, net of issuance costs	(2)	164	-	-	(2)	-	-	-	-	164	-	-	-	-	-	-
Repayment of debt	-	-	-	(800)	-	-	-	-	-	-	-	-	-	-	-	-
Other financing cash flow	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Cash Flow from financing activities	**(3,386)**	**(6,120)**	**(7,396)**	**(8,350)**	**(882)**	**(748)**	**(879)**	**(877)**	**(1,480)**	**(1,061)**	**(1,801)**	**(1,778)**	**(2,026)**	**(1,741)**	**(1,830)**	**(1,798)**
Effect of exchange rate changes on cash and cash equivalents	4	9	-	-	(3)	(1)	1	7	9	-	-	-	-	-	-	-
Net increase (decrease) in cash and cash equivalents	**(429)**	**952**	**1,008**	**2,601**	**(133)**	**506**	**(665)**	**(137)**	**(118)**	**539**	**88**	**442**	**48**	**(119)**	**284**	**795**
Cash and cash equivalents at beginning of period	2,079	1,650	2,602	3,610	2,079	1,946	2,452	1,787	1,650	1,532	2,071	2,160	2,602	2,650	2,531	2,815
Cash and cash equivalents at end of period	**1,650**	**2,602**	**3,610**	**6,211**	**1,946**	**2,452**	**1,787**	**1,650**	**1,532**	**2,071**	**2,160**	**2,602**	**2,650**	**2,531**	**2,815**	**3,610**

Summary metrics																
FCF ($M)	**3,767**	**7,046**	**8,404**	**10,951**	**1,066**	**1,262**	**622**	**817**	**1,336**	**1,600**	**1,890**	**2,220**	**2,074**	**1,622**	**2,114**	**2,593**
FCF margin (% sales)	*27.7%*	*37.5%*	*36.6%*	*39.6%*	*33.2%*	*38.3%*	*18.2%*	*22.3%*	*32.3%*	*34.0%*	*38.8%*	*43.9%*	*39.4%*	*29.7%*	*35.9%*	*40.9%*
FCF conversion (% PF net income)	*76.0%*	*94.4%*	*89.8%*	*95.4%*	*91.3%*	*108.0%*	*50.2%*	*59.0%*	*83.4%*	*85.0%*	*96.6%*	*109.7%*	*97.6%*	*72.9%*	*88.6%*	*99.0%*
Capex intensity (% sales)	*(2.8%)*	*(3.6%)*	*(3.5%)*	*(3.2%)*	*(3.0%)*	*(3.2%)*	*(2.5%)*	*(2.4%)*	*(4.7%)*	*(3.0%)*	*(3.5%)*	*(3.5%)*	*(3.5%)*	*(3.5%)*	*(3.5%)*	*(3.5%)*
Dividends (% FCF)	*28.1%*	*17.6%*	*16.1%*	*13.6%*	*23.8%*	*19.8%*	*40.0%*	*37.4%*	*22.8%*	*18.7%*	*15.7%*	*15.2%*	*16.1%*	*20.2%*	*15.4%*	*14.2%*
Share repurchases (% FCF)	*60.8%*	*70.0%*	*71.4%*	*54.8%*	*51.1%*	*43.4%*	*100.6%*	*69.9%*	*70.0%*	*62.5%*	*79.4%*	*67.6%*	*72.3%*	*92.5%*	*70.9%*	*57.8%*
Capital returns (% FCF)	*88.9%*	*87.6%*	*87.5%*	*68.4%*	*75.0%*	*63.2%*	*140.6%*	*107.2%*	*92.9%*	*81.2%*	*95.1%*	*82.7%*	*88.4%*	*112.7%*	*86.3%*	*72.1%*

Source: Company reports, Bernstein estimates and analysis

BERNSTEIN TICKER TABLE

			28 Oct 2026		TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2026A	2027E	2028E	2026A	2027E	2028E
KLAC	O	USD	158.77	**225.00**	19.3%	USD	3.76	**5.74**	**7.34**	42.2	27.7	21.6
OLD				250.00				5.47	7.05			
SPX			7,743.98									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

KLAC's metrics shown based on fiscal year ending on June 30.

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the “Firm” in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK（サンフォード・C・バーンスタイン株式会社）and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein’s “affiliates” relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY

KLA Corporation

For KLAC, we apply ~30x multiple to our FY28 non-GAAP EPS estimate of $7.34 equating to a $225 price target.

RISKS

KLA Corporation

Downside risks to our price target on KLAC include the potential for an industry downturn, detrimental end market mix, share losses, and geopolitical risks.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/-15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

CREDIT RATINGS DEFINITIONS

The Autonomous brand has three categories of credit ratings:

- Credit Outperform (C-OP): The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

- Credit Neutral (C-N): The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- Credit Underperform (C-UP): The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

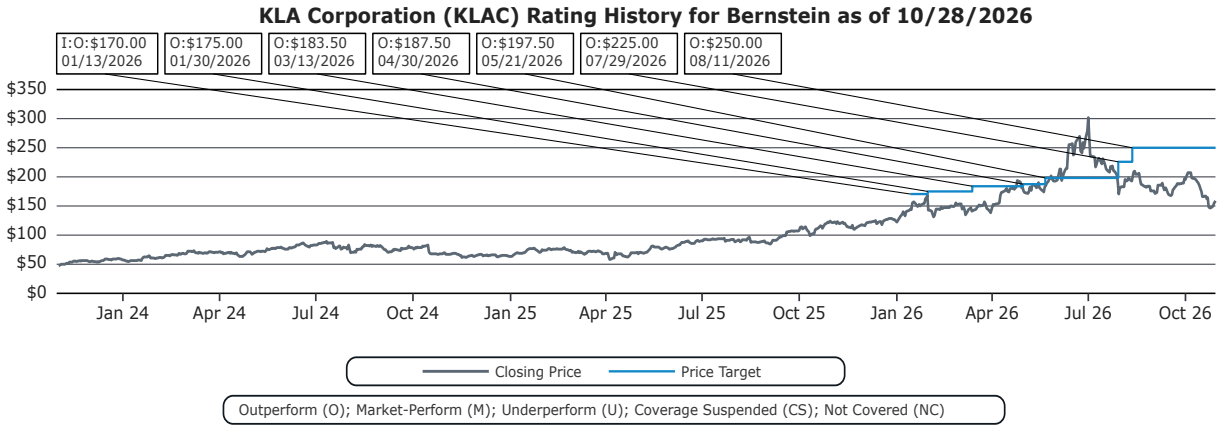
It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e. the private side) within the Firm, and into other areas, units, groups or affiliates (i.e. public side) of the Firm

DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	52.3%	14.2%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.6%	16.1%
Underperform	SELL	12.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of September 30, 2026. All figures are updated quarterly.

PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY



All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

CONFLICTS OF INTEREST

All statements in this report attributable to Gartner represent Bernstein's interpretation of data, research opinion or viewpoints published as part of a syndicated subscription service by Gartner, Inc., and have not been reviewed by Gartner. Each Gartner publication speaks as of its original publication date (and not as of the date of this report). The opinions expressed in Gartner publications are not representations of fact, and are subject to change without notice.

Stacy A. Rasgon maintains long positions in various crypto currencies.

Bernstein Autonomous LLP or BSG France SA, beneficially, has either a net long or short position of 0.5% or more of the total issued share capital of a class of common equity securities of the following MiFID eligible securities: KLA Corporation.

OTHER MATTERS

The legal entity(ies) employing the analyst(s) listed in this report, and their location, can be determined by the country code of their phone number, as follows:

+1 Bernstein Institutional Services LLC; New York, New York, USA

+44 Bernstein Autonomous LLP; London UK

+212 Société Générale Global Solution Center Morocco, Casablanca, Morocco

+33 BSG France S.A.; Paris, France

+34 BSG France S.A.; Madrid, Spain

+41 Bernstein Autonomous LLP; Geneva, Switzerland

+49 BSG France S.A.; Frankfurt, Germany

+91 Sanford C. Bernstein (India) Private Limited; Mumbai, India

+852 Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司; Hong Kong, China

+65 Sanford C. Bernstein (Singapore) Private Limited; Singapore

+81 Sanford C. Bernstein Japan KK; Tokyo, Japan

Where this report has been prepared by research analyst(s) employed by a non-US affiliate, such analyst(s), is/are (unless otherwise expressly noted below) not registered as associated persons of Bernstein Institutional Services LLC or any other SEC-registered broker-dealer and are not licensed or qualified as research analysts with FINRA. Accordingly, such analyst(s) may not be subject to FINRA's restrictions regarding (among other things) communications by research analysts with a subject company, interactions between research analysts and investment banking personnel, participation by research analysts in solicitation and marketing activities relating to investment banking transactions, public appearances by research analysts, and trading securities held by a research analyst account.

Where this report has been prepared by research analyst(s) employed by Société Générale Africa Technologies & Services (part of the Société Générale group of companies), it has been prepared on behalf of a Bernstein company under a Global Services Agreement in place between Bernstein and Société Générale.

CERTIFICATION

Each research analyst listed in this report, who is primarily responsible for the preparation of the content of this report, certifies that all of the views expressed in this publication accurately reflect that analyst's personal views about any and all of the subject securities or issuers and that no part of that analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views in this publication.

II. ADDITIONAL GLOBAL CONFLICT DISCLOSURES

It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e., the private side) within the Firm, and into other areas, units, groups or affiliates (i.e., public side) of the Firm.

III. OTHER IMPORTANT INFORMATION AND DISCLOSURES

Separate branding is maintained for "Bernstein" and "Autonomous" research products.

- Bernstein produces a number of different types of research products including, among others, fundamental analysis and quantitative analysis under both the "Autonomous" and "Bernstein" brands. Recommendations contained within one type of research product may differ from recommendations contained within other types of research products, whether as a result of differing time horizons, methodologies or otherwise. Furthermore, views or recommendations within a research product issued under one brand may differ from views or recommendations under the same type of research product issued under the other brand. The Research Ratings System for the two brands and other information related to those Rating Systems are included in the previous section.

- Autonomous operates as a separate business unit within the following entities: Bernstein Institutional Services LLC, Bernstein Autonomous LLP, Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 and Sanford C. Bernstein (India) Private Limited. For information relating to "Autonomous" branded products (including certain Sales materials) please visit: www.autonomous.com. For information relating to Bernstein branded products please visit: www.bernsteinresearch.com.

Analysts are compensated based on aggregate contributions to the research franchise as measured by account penetration, productivity and proactivity of investment ideas. No analysts are compensated based on performance in, or contributions to, generating investment banking revenues.

This report has been produced by an independent analyst as defined in Article 3 (1)(34)(i) of EU 596/2014 Market Abuse Regulation ("MAR") and the same article of MAR as it forms part of United Kingdom domestic law by virtue of the European Union (Withdrawal) Act 2018.

To our readers in the United States: Bernstein Institutional Services LLC, a broker-dealer registered with the U.S. Securities and Exchange Commission ("SEC") and a member of the U.S. Financial Industry Regulatory Authority, Inc. ("FINRA") is distributing this publication in the United States and accepts responsibility for its contents. Where this material contains an analysis of debt product(s), such material is intended only for institutional investors and is not subject to the US independence and disclosure standards applicable to debt research prepared for retail investors.

Bernstein Institutional Services LLC may act as principal for its own account or as agent for another person (including an affiliate) in sales or purchases of any security which is a subject of this report. This report does not purport to meet the objectives or needs of any specific individuals, entities or accounts.

To our readers in Canada: If this publication pertains to a Canadian domiciled company, it is being distributed in Canada by Sanford C. Bernstein (Canada) Limited, which is licensed and regulated by the Canadian Investment Regulatory Organization. If the publication pertains to a non-Canadian domiciled company, it is being distributed by Bernstein Institutional Services LLC, which is licensed and regulated by both the SEC and FINRA, into Canada under the International Dealers Exemption.

This document may not be passed onto any person in Canada unless that person qualifies as "permitted client" as defined in Section 1.1 of NI 31-103.

To our readers in Brazil: This report has been prepared by Bernstein Institutional Services LLC, and Banco BTG Pactual S.A. ("BTG") is responsible for the distribution of this report in Brazil.

To readers in the United Kingdom: This publication has been issued or approved for issue in the United Kingdom by Bernstein Autonomous LLP, authorised and regulated by the Financial Conduct Authority and located at 60 London Wall, London EC2M 5SH, +44 (0)20-7170-5000. Registered in England & Wales No OC343985.

This document is for distribution only to persons who (i) have professional experience in matters relating to investments falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Financial Promotion Order"), (ii) are persons falling within Article 49(2)(a) to (d) ("high net worth companies, unincorporated associations, etc.") of the Financial Promotion Order, (iii) are outside the United Kingdom, or (iv) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the FSMA) in connection with the issue or sale of any securities may otherwise lawfully be communicated or caused to be communicated (all such persons together being referred to as "relevant persons"). This document is directed only at relevant persons and must not be acted on or relied on by persons who are not relevant persons. Any investment or investment activity to which this document relates is available only to relevant persons and will be engaged in only with relevant persons.

To our readers in the member states of the EEA: This publication is being distributed by BSG France SA, which is authorised and regulated by the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and Autorité des Marchés Financiers (AMF).

To our readers in Hong Kong: This publication is being distributed in Hong Kong by Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, which is licensed and regulated by the Hong Kong Securities and Futures Commission (Central Entity No. AXC846) to carry out Type 4 (Advising on Securities) regulated activities and subject to the licensing conditions mentioned in

the SFC Public Register (https://www.sfc.hk/publicregWeb/corp/AXC846/details)). This publication is solely for professional investors, as defined in the Securities and Futures Ordinance (Cap. 571). The purpose of this report is solely to provide an analysis of the issuers referred to in this report and is not intended for any purpose contrary to the laws of Hong Kong.

To our readers in Singapore: This publication is being distributed in Singapore by Sanford C. Bernstein (Singapore) Private Limited, only to accredited investors or institutional investors, as defined in the Securities and Futures Act 2001 of Singapore ("SFA"). Recipients in Singapore should contact Sanford C. Bernstein (Singapore) Private Limited in respect of matters arising from, or in connection with, this publication. Sanford C. Bernstein (Singapore) Private Limited is regulated by the Monetary Authority of Singapore and licensed under the SFA as a capital markets services licence holder for dealing in capital markets products that are securities and collective investment schemes and an exempt financial adviser for advising on, issuing and promulgating analyses and reports on securities. Sanford C. Bernstein (Singapore) Private Limited is registered in Singapore with Company Registration No. 20213710W and located at 8 Marina Boulevard, #12-01, Marina Bay Financial Centre, Singapore 018981, +65-6326-7000.

To our readers in the People's Republic of China: The securities referred to in this document are not being offered or sold and may not be offered or sold, directly or indirectly, in the People's Republic of China (for such purposes, not including the Hong Kong and Macau Special Administrative Regions or Taiwan, the "PRC") in contravention of any applicable laws of the PRC.

This document does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC to any person to whom it is unlawful to make the offer or solicitation in the PRC.

We do not represent that this document may be lawfully distributed, or that any securities may be lawfully offered, in compliance with any applicable registration or other requirements in the PRC, or pursuant to an exemption available thereunder, or assume any responsibility for facilitating any such distribution or offering. In particular, no action has been taken by us which would permit a public offering of any securities or distribution of this document in the PRC. Accordingly, the securities are not being offered or sold within the PRC by means of this document or any other document. Neither this document nor any advertisement or other offering material may be distributed or published in the PRC, except under circumstances that will result in compliance with any applicable laws and regulations.

To our readers in Japan: This publication is being distributed in Japan by Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社), which is registered in Japan as a Financial Instruments Business Operator with the Kanto Local Finance Bureau (registration number: The Director-General of Kanto Local Finance Bureau (FIBO) No.3387) and regulated by the Financial Services Agency. It is also a member of Investment Management Association of Japan. This publication is solely for qualified institutional investors in Japan only, as defined in Article 2, paragraph (3), items (i) of the Financial Instruments and Exchange Act.

For the institutional client readers in Japan who have been granted access to the Bernstein website by Daiwa Securities Group Inc. ("Daiwa"), your access to this document should not be construed as meaning that Bernstein is providing you with investment advice for any purposes. Whilst Bernstein has prepared this document, your relationship is, and will remain with, Daiwa, and Bernstein has neither any contractual relationship with you nor any obligations towards you.

To our readers in Australia: Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 is responsible for distributing research in Australia. It is regulated by the Securities and Exchange Commission under U.S. laws, by the Financial Conduct Authority under U.K. laws, which differs from Australian laws. Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 is exempt from the requirement to hold an Australian financial services license under the Corporations Act 2001 in respect of the provision of the following financial services to wholesale clients:

- providing financial product advice;
- dealing in a financial product;
- making a market for a financial product; and
- providing a custodial or depository service.

To our readers in India: This publication is being distributed in India by Sanford C. Bernstein (India) Private Limited (SCB India) which is licensed and regulated by Securities and Exchange Board of India ("SEBI") as a research analyst entity under the SEBI (Research Analyst) Regulations, 2014, having registration no. INH000006378 and as a stock broker having registration no. INZ000213537. SCB India is currently engaged in the business of providing research and stock broking services. Please refer to www.bernsteinresearch.in for more information.

- SCB India is a Private limited company incorporated under the Companies Act, 2013, on April 12, 2017 bearing corporate identification number U65999MH2017FTC293762, and registered office at Level 3A, 4th Floor, First International Financial

Centre, Plot Nos C-54 and C-55, G Block, Near CBI Office, Bandra Kurla Complex, Bandra (East), Mumbai 400098, Maharashtra, India (Phone No: +91-22-68421401).

- For details of Associates (i.e., affiliates/group companies) of SCB India, kindly email MUM-BERNSTEIN-InCompliance@bernsteinsg.com / scbincompliance@bernsteinsg.com.
- SCB India does not have any disciplinary history as on the date of this report.
- Except as noted above, SCB India and/or its Associates (i.e., affiliates/group companies), the Research Analysts authoring this report, and their relatives
  - do not have any financial interest in the subject company
  - do not have actual/beneficial ownership of one percent or more in securities of the subject company;
  - is not engaged in any investment banking activities for Indian companies, as such;
  - have not managed or co-managed a public offering in the past twelve months for any Indian companies;
  - have not received any compensation for investment banking services or merchant banking services from the subject company in the past 12 months;
  - have not received compensation for brokerage services from the subject company in the past twelve months;
  - have not received any compensation or other benefits from the subject company or third party related to the specific recommendations or views in this report; and
  - do not currently, but may in the future, act as a market maker in the financial instruments of the companies covered in the report.
  - do not have any conflict of interest in the subject company as of the date of this report.
- Except as noted above, the subject company has not been a client of SCB India during twelve months preceding the date of distribution of this research report. Neither SCB India nor its Associates (i.e., affiliates/group companies) have received compensation for products or services other than investment banking, merchant banking or brokerage services from the subject company in the past twelve months.
- The principal research analyst(s) who prepared this report, members of the analysts' team, and members of their households are not an officer, director, employee or advisory board member of the companies covered in the report.
- Our Compliance officer / Grievance officer is Ms. Rupal Talati, who can be reached at +91-22-68421451, or MUM-BERNSTEIN-InCompliance@bernsteinsg.com / Scbin-investorgrievance@bernsteinsg.com / scbincompliance@bernsteinsg.com.
- Kindly refer to the Research investor charter and Research Most Important Terms & Conditions (MITC) available at (https://bernsteinresearch.in/)
- Disclaimer: Registration granted by SEBI, and certification from NISM, is in no way a guarantee of performance of the intermediary or provide any assurance of returns to investors. Investments in securities market are subject to market risks. Read all the related documents carefully before investing.

To our readers in Switzerland: This document is provided in Switzerland by or through Bernstein Autonomous LLP, and is provided only to qualified investors as defined in article 10 of the Swiss Collective Investment Scheme Act ("CISA") and related provisions of the Collective Investment Scheme Ordinance and in strict compliance with applicable Swiss law and regulations. The products mentioned in this document may not be suitable for all types of investors. This document is based on the Directives on the Independence of Financial Research issued by the Swiss Bankers Association (SBA) in January 2008.

To our readers in the Middle East: Bernstein Autonomous LLP, DIFC branch has its principal office at Gate Village 06, DIFC, Dubai, UAE. Bernstein Autonomous LLP, DIFC branch is regulated by the Dubai Financial Services Authority (DFSA) with the registration number CL10040 and is provisioned for Arranging Deals in Investments and Advising on Financial Products. All

communications and services are directed at Professional Clients and Market Counterparties only (as defined in the DFSA rulebook). Persons other than Professional Clients and Market Counterparties, such as Retail Clients, are not the intended recipients of our communications or services.

LEGAL

All research publications are disseminated to our clients through posting on the firm's password protected websites, bernsteinresearch.com and autonomous.com. Certain, but not all, research publications are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience.

This publication has been published and distributed in accordance with the Firm's policy for management of conflicts of interest in investment research, a copy of which is available from Bernstein Institutional Services LLC, Director of Compliance, 245 Park Avenue, New York, NY 10167. Additional disclosures and information regarding Bernstein's business are available on our website www.bernsteinresearch.com.

The securities described herein may not be eligible for sale in all jurisdictions or to certain categories of investors where that permission profile is not consistent with the licenses held by the entities noted herein. This document is for distribution only as may be permitted by law. This publication is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of, or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject any of the entities referenced herein or any of their subsidiaries or affiliates to any registration or licensing requirement within such jurisdiction. This publication is based upon public sources we believe to be reliable, but no representation is made by us that the publication is accurate or complete. We do not undertake to advise you of any change in the reported information or in the opinions herein. This publication was prepared and issued by entity referred to herein for distribution to eligible counterparties or professional clients. This publication is not an offer to buy or sell any security, and it does not constitute investment, legal or tax advice. The investments referred to herein may not be suitable for you. Investors must make their own investment decisions in consultation with their professional advisors in light of their specific circumstances. The value of investments may fluctuate, and investments that are denominated in foreign currencies may fluctuate in value as a result of exposure to exchange rate movements. Information about past performance of an investment is not necessarily a guide to, indicator of, or assurance of, future performance.

This report is directed to and intended only for our clients who are “eligible counterparties”, “professional clients”, “institutional investors” and/or “professional investors” as defined by the aforementioned regulators, and must not be redistributed to retail clients as defined by the aforementioned regulators. Retail clients who receive this report should note that the services of the entities noted herein are not available to them and should not rely on the material herein to make an investment decision. The result of such act will not hold the entities noted herein liable for any loss thus incurred as the entities noted herein are not registered/ authorised/ licensed to deal with retail clients and will not enter into any contractual agreement/arrangement with retail clients. This report is provided subject to the terms and conditions of any agreement that the clients may have entered into with the entities noted herein. All research reports are disseminated on a simultaneous basis to eligible clients through electronic publication to our client portal.

The information in this report was prepared by Bernstein solely for the internal business use of our clients. Clients may store, display, analyze, reformat and print the information in this report for this limited use only. Clients may not copy, alter, create derivative works, resell, reverse engineer, commercially exploit, share or distribute any part of the information contained herein for any purpose without Bernstein’s express written consent. These restrictions include extracting data or using the content to develop indices or other products. Further, you may not use this report, or any portion of this report, to train or finetune any third-party machine learning or artificial intelligence system, or as a prompt or input into any such system. You also may not, without Bernstein’s express written consent, do any of the foregoing in connection with your own internal machine learning or artificial intelligence system.

Bernstein may use artificial intelligence tools in the preparation of its materials. Any such materials are reviewed by Bernstein’s research analysts prior to publication.

This report has been prepared for information purposes only and is based on current public information that we consider reliable, but the entities noted herein do not warrant or represent (express or implied) as to the sources of information or data contained herein are accurate, complete, not misleading or as to its fitness for the purpose intended even though the entities noted herein rely on reputable or trustworthy data providers, it should not be relied upon as such. Opinions expressed are the author(s)’ current opinions as of the date appearing on the material only and we do not undertake to advise you of any change in the reported information or in the opinions herein.

Any references to Societe Generale herein are purely factual, based upon publicly available information, and included for comparative purposes only. They do not constitute an opinion or recommendation with respect to the securities of Societe Generale.

This publication was prepared and issued by the entity referred to herein for distribution to eligible counterparties or professional clients. The information in this report is intended for general circulation and does not constitute an offer to buy or sell any security, investment, legal or tax advice nor a personal recommendation, as defined by any of the aforementioned regulators. It does not take into account the particular investment objectives, financial situations, or needs of individual investors. The report has not been reviewed by any of the aforementioned regulators and does not represent any official recommendation from the aforementioned regulators. The investments referred to herein may not be suitable for you. Investors must make their own investment decisions in consultation with advice sought from a financial adviser regarding the suitability of the investment product, taking into account the specific investment objectives, financial situation or particular needs of any recipient of the recommendation, before the recipient makes a commitment to purchase the investment product.

The analysis contained herein is based on numerous assumptions. Different assumptions could result in materially different results. The information in this report does not constitute, or form part of, any offer to sell or issue, or any offer to purchase or subscribe for shares, or to induce engagement in any other investment activity. The value of any securities or financial instruments mentioned in this report may fluctuate subject to market conditions. Information about past performance of an investment is not necessarily a guide to, indicative of, or assurance of future performance. Estimates of future performance mentioned by the research analyst in this report are based on assumptions that may not be realized due to unforeseen factors like market volatility/fluctuation. In relation to securities or financial instruments denominated in a foreign currency other than the clients' home currency, movements in exchange rates will have an effect on the value, either favorable or unfavorable. Before acting on any recommendations in this report, recipients should consider the appropriateness of investing in the subject securities or financial instruments mentioned in this report and, if necessary, seek independent professional advice.

The securities described herein may not be eligible for sale in all jurisdictions or to certain categories of investors where that permission profile is not consistent with the licenses held by the entities noted herein. This document is for distribution only as may be permitted by law. It is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or would subject the entities noted herein to any regulation or licensing requirement within such jurisdiction.

Source: Bloomberg Index Services Limited. BLOOMBERG® is a trademark and service mark of Bloomberg Finance L.P. and its affiliates (collectively "Bloomberg"). Bloomberg or Bloomberg's licensors own all proprietary rights in the Bloomberg Indices. Neither Bloomberg nor Bloomberg's licensors approves or endorses this material, or guarantees the accuracy or completeness of any information herein, or makes any warranty, express or implied, as to the results to be obtained therefrom and, to the maximum extent allowed by law, neither shall have any liability or responsibility for injury or damages arising in connection therewith.

No part of this material may be reproduced, distributed or transmitted or otherwise made available without prior consent of the entities noted herein. Copyright Bernstein Institutional Services LLC Bernstein Autonomous LLP, BSG France S.A., Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited and Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社). All rights reserved. The trademarks and service marks contained herein are the property of their respective owners. Any unauthorized use or disclosure is strictly prohibited. The entities noted herein may pursue legal action if the unauthorized use results in any defamation and/or reputational risk to the entities noted herein and research published under the Bernstein and Autonomous brands.